Dongkeun Choi

Department of Economics
University of California, San Diego
9500 Gilman Drive 0508
La Jolla, CA 92093-0508, USA

Mobile: (619) 400-9503
Email: dochoi@ucsd.edu
Website: sites.google.com/view/dongkeunchoi

Placement Director: Prashant Bharadwaj prbharadwaj@ucsd.edu

Placement Coordinator: Andrew Flores econ-jobmarket@ucsd.edu

Education

Ph.D. in Economics, University of California San Diego	2027 (expected)
M.A. in Economics, Korea University, South Korea	2021
B.A. in Economics and B.S. in Financial Engineering, Korea University, South Korea	2019

Research Interests

Macroeconomics, Monetary Economics, Banking and Financial Intermediation

References

James D. Hamilton *(Chair)*
Professor
Department of Economics, UC San Diego
jhamilton@ucsd.edu

Juan Herreño
Assistant Professor
Department of Economics, UC San Diego
jherrenolopera@ucsd.edu

Michael Reher
Associate Professor
Rady School of Management, UC San Diego
mreher@ucsd.edu

Johannes Wieland
Professor
Department of Economics, UC San Diego
jfwieland@ucsd.edu

Job Market Paper

Unintended Risks of Bank Capital Regulations

Abstract. I show that tighter capital regulation can increase aggregate credit risk through heterogeneous lending behavior between banks and nonbank financial intermediaries (NBFIs). Using loan-level mortgage data, I document that NBFIs approve observably similar applicants at higher rates than banks and that NBFI loans have higher default rates. I show that tighter regulation contributed to a shift in credit toward riskier borrowers with higher default rates. I develop a general equilibrium model in which banks and NBFIs choose loan rates and underwriting standards. Tighter regulation raises bank loan rates and tightens underwriting standards, shifting applicants toward NBFIs. NBFIs' looser underwriting standards extend credit to applicants who would otherwise remain unfunded, increasing the aggregate credit risk. The model further shows that tighter regulation can amplify adverse financial shocks.

Working Papers

Why Is Monetary Policy Less Effective at Low Interest Rates: The Role of Banking Sector

Abstract. This paper investigates the effectiveness of monetary policy in a low-interest-rate environment, focusing on how loan and deposit rates respond to changes in nominal interest rates. Using U.S. bank data, I show that deposit rates reach zero when the policy rate falls to about 2 percent, with both deposit and loan rates becoming unresponsive to further cuts below the threshold. Net interest margins do not shrink, preserving banks' equity and lending capacity to additional policy rate cut. Monetary transmission thus weakens well above the zero lower bound, muting the stimulus to loan demand rather than eroding banks' lending capacity. Stabilizing demand-driven recessions near this threshold requires earlier fiscal coordination.

Equipment, Structures, and the Limits of Investment-Specific Technological Change (with Munseob Lee)

Abstract. The falling relative price of equipment, long viewed as the signature of investment-specific technological change (ISTC), has a countervailing force: rising structures prices. We establish four facts: high-income countries' structures prices rise as equipment prices fall; each investment rate falls with its own price; equipment prices predict income growth more strongly than structures prices; and U.S. structures price rises are broad-based. KLEMS data attribute roughly half the post-1996 rise in construction prices, in the U.S. and abroad, to declining construction TFP. We build a two-capital endogenous growth model with structures in production and R&D. Calibrated to the U.S., structures impose a structural drag of 0.52 percentage points per year, partially offsetting a 1.41 percentage point equipment boost. A nested CES extension finds structures-unskilled substitutability alongside equipment-skilled complementarity. These margins shrink the drag by 20-30% and reveal a novel channel whose omission overstates the 1963-2019 U.S. skill premium rise by 30%.

Work in Progress

Redistribution through the Secondary Mortgage Market

Research Experience

Dissertation Fellow, Federal Reserve Board	Summer 2026
Research Assistant, Prof. Munseob Lee, UC San Diego	2022–2023
Research Assistant, Prof. Jinill Kim, Korea University	2020–2021

Presentations

2026 Federal Reserve Board, Midwest Macro Meeting (Milwaukee), FIRS (Miami), UCSD

Teaching Experience

UC San Diego

Long Run Macroeconomics (UG), Teaching Assistant	2022
Short Run Macroeconomics (UG), Teaching Assistant	2023–2026
International Finance (UG), Teaching Assistant	2023–2024
Macroeconomics B (G), Teaching Assistant	2023
Macroeconomics C (G), Teaching Assistant	2023

Korea University

Intermediate Macroeconomics (UG), Teaching Assistant	2020–2021
Macroeconomics I & II (G), Teaching Assistant	2020–2021

Fellowships, Grants, and Awards

FIRS PhD Student Travel Grant	2026
Travel and Research Grant, UC San Diego	2026
Clive Granger Research Fellowship, UC San Diego	2025
Research Fellowships, Prof. James D. Hamilton, UC San Diego	2024, 2025
Summer Research Fellowships, UC San Diego	2022, 2023
Regent Fellowship, UC San Diego	2021–2022
Research Grant, Korea Foundation of Abroad Studies (KFAS)	2021–2026
Brain Korea 21+ Graduate Student Scholarship, Korea University	2019–2020
President's List, Korea University	Spring 2017

Additional Information

Programming	Matlab, Dynare, Stata, Python
Languages	English (fluent), Korean (native)
Citizenship	South Korea (F-1 Visa)